

PRA Glossary - K

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key function

The changes to this defined term are effective from 23:00 on 31/12/2020. (1) in relation to a UK Solvency II firm, the Society, a managing agent, a UK ISPV and a large non-directive insurer means each of the following in relation to the carrying on of a regulated activity by the firm: (a) the risk-management function; (b) the compliance function; (c) the internal audit function; (d) the actuarial function; (e) the function of effectively running the firm; and (f) any other function which is of specific importance to the sound and prudent management of the firm; (2) in relation to a third country branch undertaking means, in relation to the carrying on of a regulated activity by the third country branch undertaking, each of the following functions performed in relation to the operations effected by the third country branch: (a) the risk-management function; (b) the compliance function; (c) the internal audit function; (d) the actuarial function; (e) the function of effectively running the operations effected by the third country branch; (f) the function of being the authorised UK representative; and (g) any other function which is of specific importance to the sound and prudent management of the third country branch; (3) in relation to a third country insurance service provider means, in relation to the carrying on of a regulated activity by the third country insurance services provider in the UK: (a) the risk-management function; (b) the compliance function; (c) the internal audit function; (d) the actuarial function; (e) the function of effectively running the operations effected by the third country insurance services provider; and (f) any other function which is of specific importance to the sound and prudent management of the third country insurance services provider.

key function holder

(1) means any person who is responsible for discharging a key function; (2) in the Regulatory Reporting Part, means an individual who has significant influence over the direction of the activities of the branch, but who is neither a member of the management body nor the CEO.